

CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY

Master of Business Administration (MBA)

Semester – I University Examination 2009-10

MB 700 Managerial Economics

Date: 04. 01.2010

Time: 01.00 PM to 04.00 PM

Maximum Marks:70

Instructions:

1. This paper contains six questions, of which the last one is a case analysis.
2. All questions are compulsory.
3. Each of the first five questions will carry 10 marks and the last case analysis will carry 20 marks.
4. Question number six requires graph sheets, which will be provided on request.

Q1 Explain and discuss with examples ten principles of economics. (10)

Q2 (A) Using supply-and-demand diagrams show the effect of the following events on market for personal computers. (One diagram for each event) (5)

i) The price of computer chips falls

ii) There is rise in consumer incomes.

iii) The price of computer software rises.

iv) Universities require incoming freshmen (new students) to have their own personal computer.

(B) Suppose that business travelers and vacationers have the following demand for airline ticket from New Delhi to Chennai:

Price (Rs.)	Quantity Demanded (Business travelers) Tickets	Quantity Demanded (Vacationers) Tickets
1500	2100	1000
2000	2000	800
2500	1900	600
3000	1800	400

(i) As the price of tickets rises from Rs.2000 to Rs.2500, what is the price elasticity of demand for:

(a) business travelers ?

(2)

(b) vacationers ?

(2)

Use the midpoint method in your calculations. Write and explain the formula used in calculation.

(ii) Why might vacationers have a different elasticity from business travelers?

(1)

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(P. T. O.)

Q3 The market for pizza is characterized by a downward-sloping demand curve and an upward-sloping supply curve. (Draw separate diagrams corresponding to each situation given below)

- i) Draw the competitive market equilibrium. Label the price, quantity, consumer surplus, and producer surplus. Is there any dead weight loss? Explain. (3)
- ii) Suppose that the government forces each pizzeria to pay a Re. 1.00 as tax on each pizza sold. Illustrate the effect of this on the pizza market, being sure to label the consumer surplus, producer surplus, government revenue, and dead weight loss. How does each area compare to pre-tax case? (3)
- iii) If the tax were removed, pizza eaters and sellers would be better off, but the government would lose tax revenue. Suppose that consumers and producers voluntarily transferred some of their gains to the government. Could all parties (including the government) be better off than they were with tax? Explain using the labeled areas in your graph. (4)

Q4

(A) Do you agree on the following statements? Write reasons for agreeing or disagreeing.

- (i) "The benefit of corrective taxes as a way to reduce pollution has to be weighed against the deadweight losses that these taxes cause". (4)
- (ii) "When deciding whether to levy a corrective tax on consumer or producers, the government should be careful to levy the tax on the side of the market generating the externality." (3)

(B) If the population of Mumbai suddenly grew because of a large immigration, what would happen to wages? What would happen to the rents earned by owner of land and capital? (3)

Q5 India represents a small part of the world mobile handset market.

- (i) Draw a diagram depicting the equilibrium in the Indian mobile handset market without international trade. Identify the equilibrium price, equilibrium quantity, consumer surplus, and producer surplus. (5)
- (ii) Suppose the world price of mobile handset is lower than the Indian price before trade and now India is opened to trade. Identify the new equilibrium price, quantity consumed domestically, quantity produced domestically, and quantity imported. Also show the change in surplus of domestic producers. Has total surplus increased or decreased? (5)

Price (Rs.)	Quantity Demanded (Lacs)	Quantity Supplied (Lacs)
1500	1.0	0.5
1200	1.5	1.0
900	2.0	1.5
600	2.5	2.0
300	3.0	2.5

Q6 This question comprises two cases, both of which are compulsory.

(10x2)

Case I

Thirsty Thelma's Lemonade Stand

The cost data of "Thirsty Thelma's" Lemonade Stand is as given below"

Quantity of Lemonade (Glass per Hour)	Total Cost (Rs.)	Fixed Cost (Rs.)	Variable Cost (Rs.)	Average Fixed Cost	Average Variable Cost	Average Total Cost	Marginal Cost
0	3.00	3.00					
1	3.30	3.00					
2	3.80	3.00					
3	4.50	3.00					
4	5.40	3.00					
5	6.50	3.00					
6	7.80	3.00					
7	9.30	3.00					
8	11.00	3.00					
9	12.90	3.00					
10	15.00	3.00					

(a) Fill in the blanks in the table and write the procedure for finding out the missing values for each column heading.

(b) Based on the above calculations draw the Average fixed cost, Average variable cost, Average total cost and Marginal cost curves. Discuss each curves peculiar behavior.

Case II

Dhenu Dairy Farm Produce (Competitive Firm)

The following table shows the cost and revenue for the Dhenu Dairy Farm Produce firm. The firm is operating in a Competitive market i.e. perfect competition. The owner of the firm is faced with a problem of maximizing the profit. What quantity of milk should the firm be producing? Take Rs.3 as fixed cost.

Quantity (liters)	Total Revenue (Rs.)	Total cost (Rs.)	Profit	Variable Cost	Average Revenue	Marginal Revenue	Marginal Cost	Change in Profit
0	0	3						
1	6	5						
2	12	8						
3	18	12						
4	24	17						
5	30	23						
6	36	30						
7	42	38						
8	48	47						

- Calculate the missing values and write the procedure for finding values under each column heading.
- Draw curves for Price, Average revenue, Marginal revenue, Average total cost, Average variable cost and Marginal cost on the graph paper and discuss the procedure for profit maximizing.